

COMMODITY ANALYST

The Volatility Arbiter: How China Policy Shapes Global Commodity Risk

- Low China crude imports is one of the main reasons crude oil prices are not higher despite the sharpest oil supply shock on record. By contrast, China's export restrictions in much smaller rare earths markets drove macro market instability last year.
- **The volatility arbiter.** We argue that China policy tends to dampen price volatility in hydrocarbons (oil, LNG, and chemicals) and gold through price-sensitive import demand. By contrast, it tends to amplify volatility in critical metals, where China can use supply chain dominance as leverage in its AI and geopolitical competition with the US. China's pricing power rises with its supply share, which is constrained by reserves in production but reinforced by deliberate investment in refining and strategic reserves.
- **Oil, natural gas, and chemicals: Swing consumer ensures stability.** As Mideast supply has fallen, China has helped stabilized markets in early 2026 by cutting net imports of LNG and especially crude (Exhibit 1) and by increasing net exports of organic chemicals and plastics (Exhibit 2).¹ China will likely continue helping stabilize markets where high inventories give it room to do so—crude rather than natural gas (Exhibit 3). If the Middle East supply shock persists, several key drivers of China's below-normal crude imports should remain in place: profit maximization ("buy low, sell high"; Exhibit 4), price-elastic domestic oil demand, and support for China's goods exports by cushioning the oil shock for other oil-importing emerging markets.
- **Gold: Monetary challenger lifts the price trend but dampens volatility.** We estimate that the 20-tonne monthly increase in China's average sovereign gold purchases since Russia's reserves were frozen in 2022 (Exhibit 5) has lifted the gold price by over 20%. Higher gold reserves reduce China's vulnerability to sanctions, support renminbi internationalization, and reinforce a structurally rising gold price trend. However, China's tendency to slow purchases following sharp gold price increases and accelerate buying following selloffs dampens the volatility of gold prices (Exhibit 6).
- **Critical metals: Dominant producer amplifies volatility.** China dominates

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¹ The rise in China's net exports of organic chemical compounds in 2026Q2 vs. 2025Q4 reflects a 39% drop in import volumes and a 23% rise in export volumes. The rise in China's net exports of plastic and plastic articles in 2026Q2 vs. 2025Q4 reflects a 17% drop in import volumes and a 14% rise in export volumes.

refining of critical metals, including rare earths, lithium and aluminium ([Exhibit 7](#)). As it expanded exports, China pushed global prices for several rare earths below the marginal cost of other producers ([Exhibit 9](#)), often forcing them out of the market. This concentrated supply in China, consistent with the concentration phase of the [Commodity Control Cycle](#) ([Exhibit 8](#)). Once China established dominance, restrictions of critical metals exports created ex-China shortages and sharply higher ex-China prices, including for antimony ([Exhibit 10](#)), germanium, tungsten ([Exhibit 11](#)), and yttrium, which recently traded at roughly 20 times the domestic China price in ex-China markets. This is consistent with the leverage phase of the Commodity Control Cycle^{2,3}

■ **Investment implications.**

- a. **Include metals in inflation hedges.** Energy has a larger weight in inflation baskets, but critical metals also belong in broad commodity hedges because China policy is more likely to raise metals volatility.
- b. **TTF is a better Hormuz hedge than crude oil.** Lower China natural gas inventories versus crude support our view that TTF has more asymmetric upside than crude in the 2026–2027 winter if Hormuz disruptions persist.
- c. **Gold offers an attractive entry point.** Re-accelerating central bank gold demand, led by China, should help gold prices rebound despite likely temporary downside price pressure from energy and rates markets.

China Policy Tends to Reduce Price Volatility in Crude Oil, LNG, and Gold but Amplify Volatility in Critical Metals

Impact of China Commodity Policy on....		
	Commodity Price Level	Commodity Price Volatility
Crude Oil and LNG	 (When Prices are High)  (When Prices are Low)	
Gold		
Critical Metals	 (Expansion Phase)  (Leverage Phase)	

Source: Goldman Sachs Global Investment Research

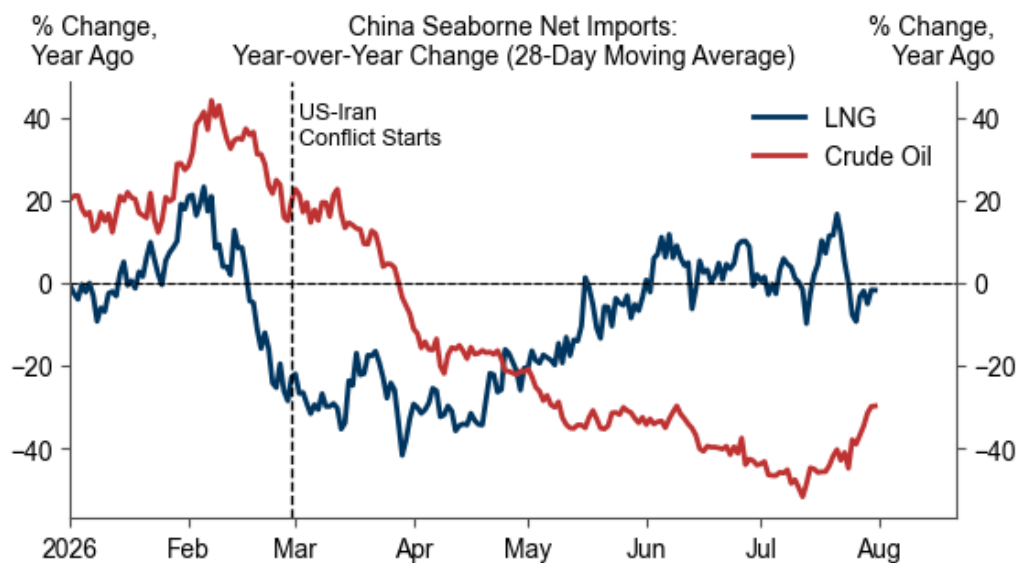
² Rare Earths are primarily used in high-performance permanent magnets (especially Neodymium and Praseodymium) for EV motors, wind turbines, robotics and electronics. They are also used in catalysts, lasers and defense systems. Tungsten, valued for its extreme hardness and high melting point, is used in cutting and drilling equipment, aerospace, armour-piercing munitions and high-temperature components. Germanium is mainly used in semiconductors and fibre-optic communications as well as infrared optics. Yttrium is critical for LEDs and display technologies, high-temperature superconductors, lasers and strengthening high-performance alloys.

³ Chinese firms' investments in Africa increase China's influence in the supply chain of industrial metals it's a net importer of, including copper (DRC), iron ore (Guinea), and aluminum/bauxite (Guinea).

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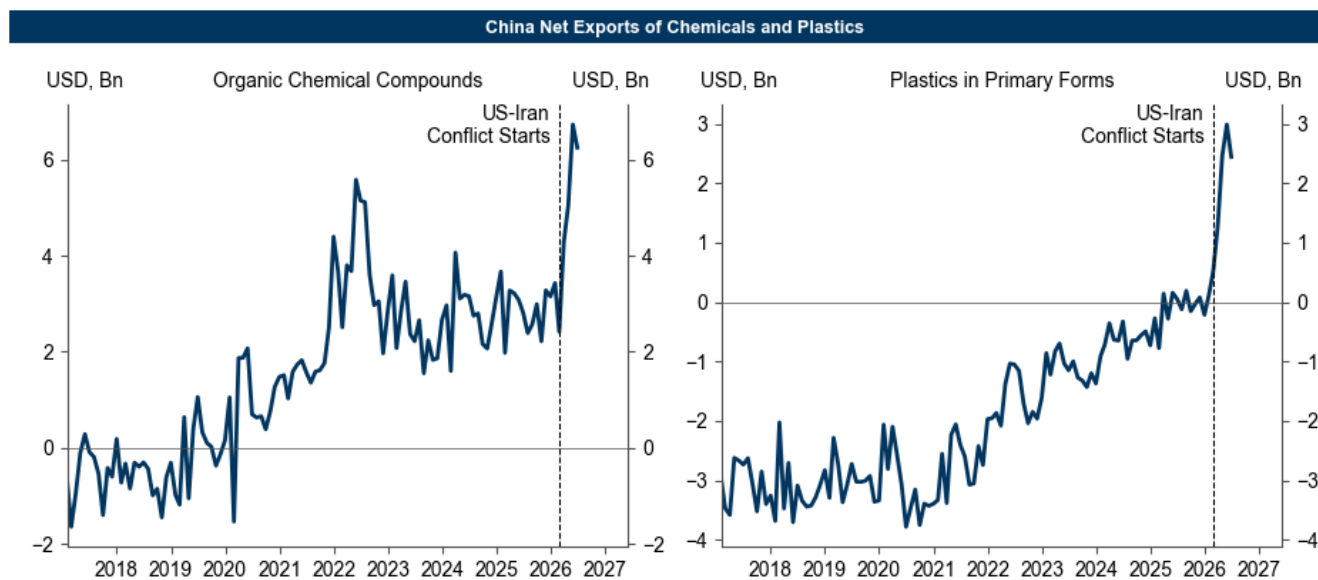
Crude Oil, LNG, Chemicals: Swing Consumer Ensures Stability in 2026

Exhibit 1: As Mideast Supply Has Fallen, China Has Helped Stabilize Markets Since March by Cutting Net Imports of LNG and Especially Crude



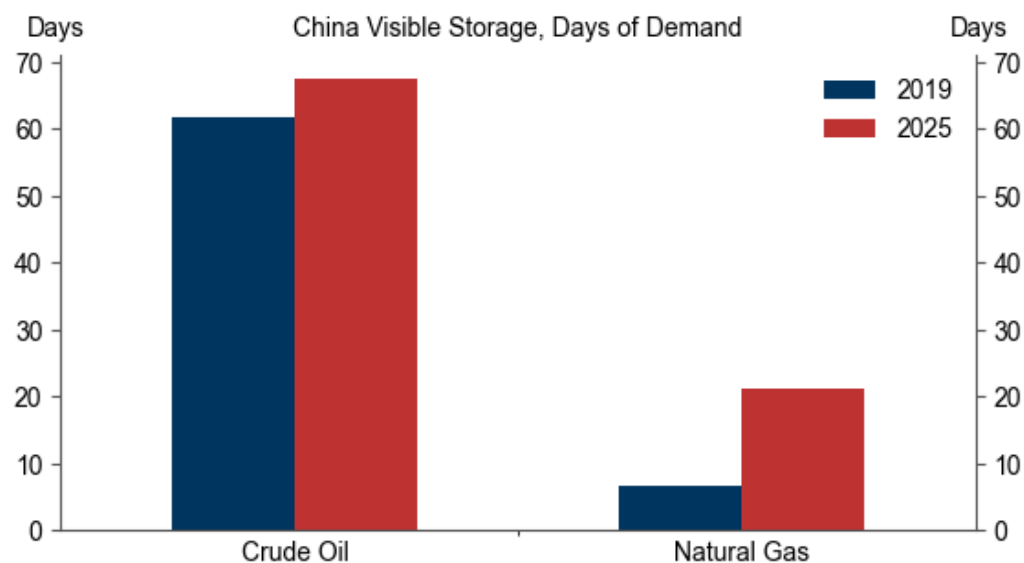
Source: Kpler, Goldman Sachs Global Investment Research

Exhibit 2: China Has Also Helped Stabilize Markets by Increasing Net Exports of Organic Chemicals and Plastics



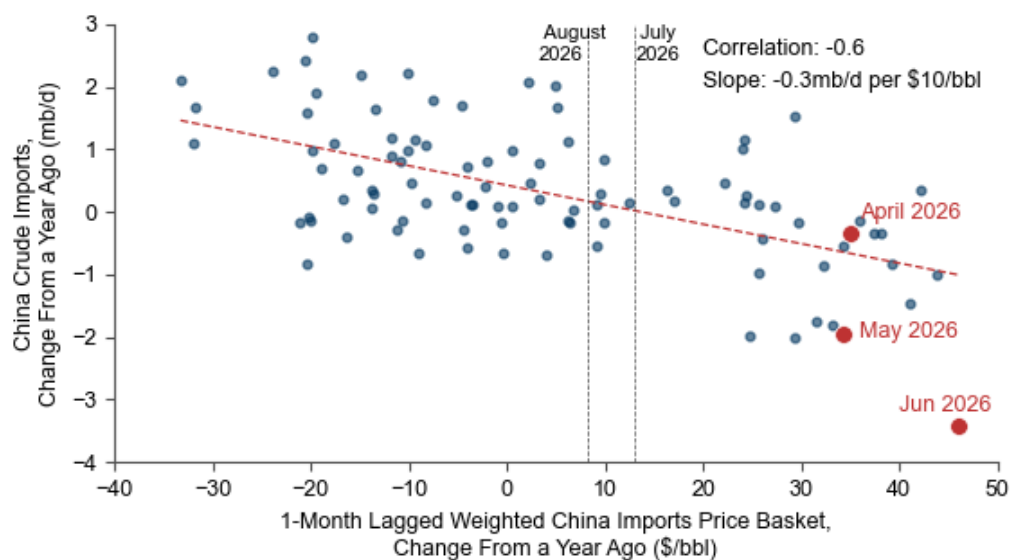
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 3: Higher China Inventories For Crude vs. Natural Gas Give it More Room to Stabilize Crude Markets than Natural Gas Markets...



Source: IEA, Goldman Sachs Global Investment Research

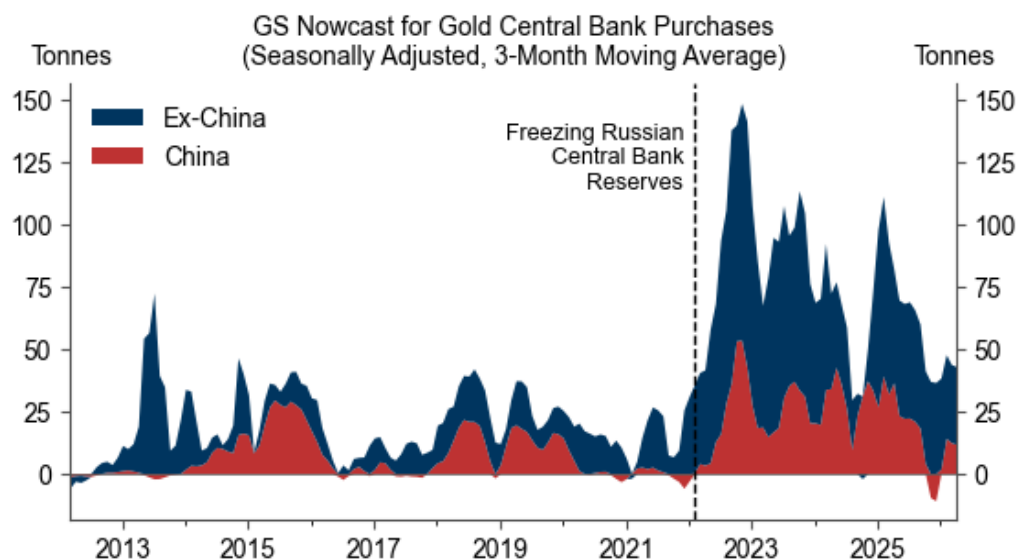
Exhibit 4: ... By Reducing/Increasing Its Crude Imports When Prices Are Rising/Falling



Source: Goldman Sachs Global Investment Research

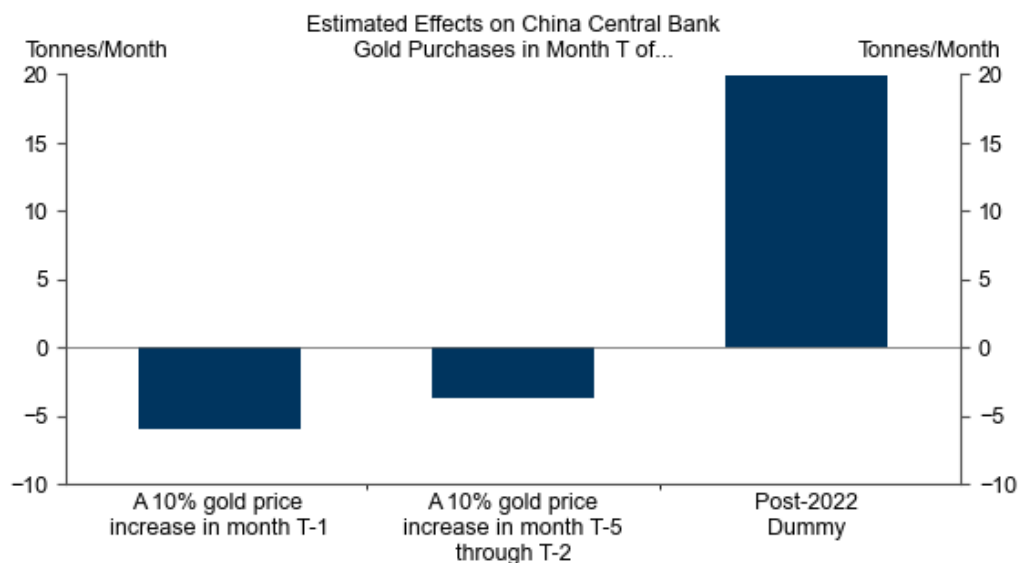
Gold: Monetary Challenger Lifts the Price Trend but Dampens Volatility

Exhibit 5: The 20-Tonne Increase in China's Average Monthly Central Bank Gold Purchases Since Russia's Reserves Were Frozen in 2022 Has Been the Largest Contributor to the Acceleration in Global Central Bank Gold Purchases



Source: Goldman Sachs Global Investment Research

Exhibit 6: China's Tendency to Slow Purchases Following Sharp Gold Price Increases and Accelerate Buying Following Selloffs Dampens the Volatility of Gold Prices

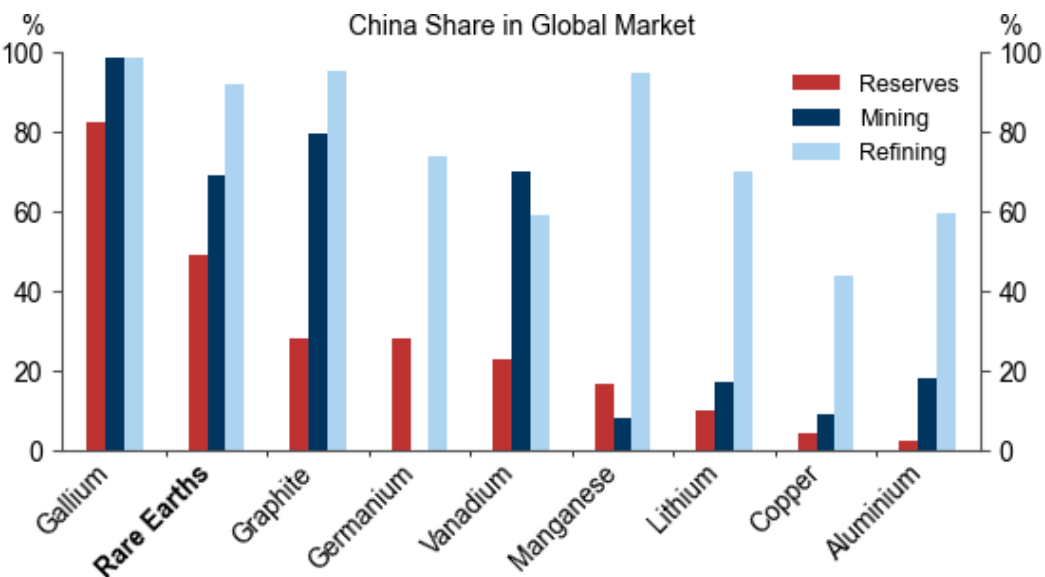


OLS regression of monthly China central bank gold purchases on: (1) the 1-month gold price change in month T-1, (2) the 3-month gold price change from T-5 to T-2, and (3) a dummy variable equal to 1 from January 2022 onwards. The sample covers 2010–2026 at monthly frequency. All coefficients are statistically significant at the 5% significance level.

Source: Goldman Sachs Global Investment Research

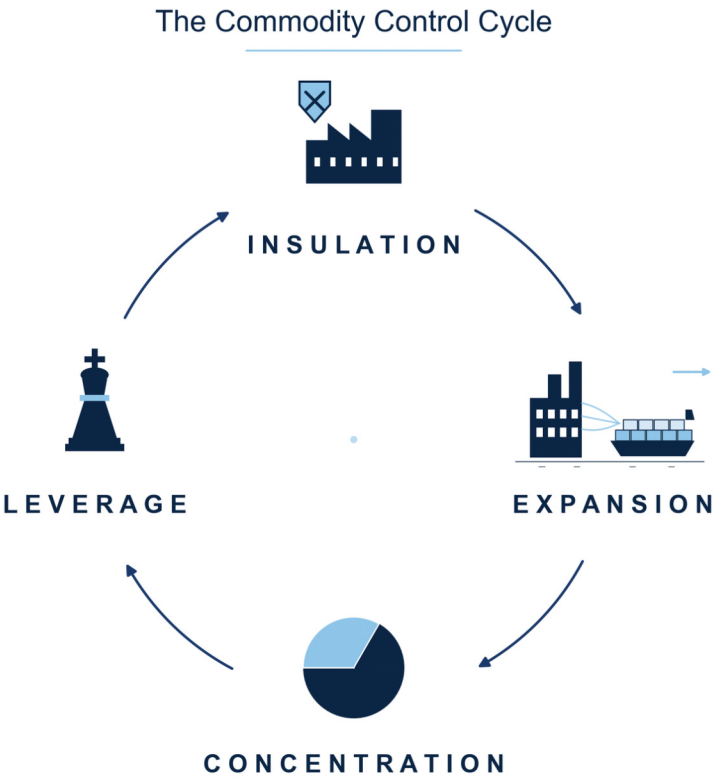
Critical Metals

Exhibit 7: China Dominates Refining of Critical Metals, Including Rare Earths, Lithium and Aluminium



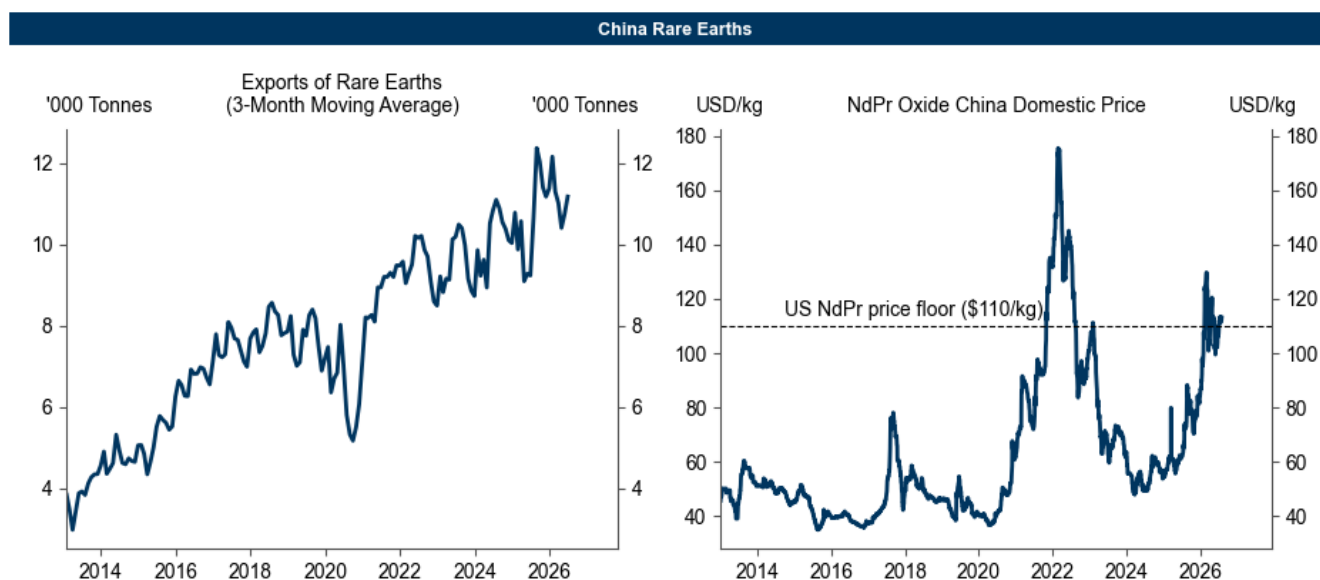
Source: IEA, USGS, European Commission, The Hague Centre for Strategic Studies, Goldman Sachs Global Investment Research

Exhibit 8: China Has Obtained Significant Leverage in Many Critical Metals Markets as Rising Exports Depressed Global Prices, Which in Turn Forced Higher-Cost Producers Elsewhere Out of the Market, Concentrating a Greater Share of Global Supply in China



Source: Goldman Sachs Global Investment Research

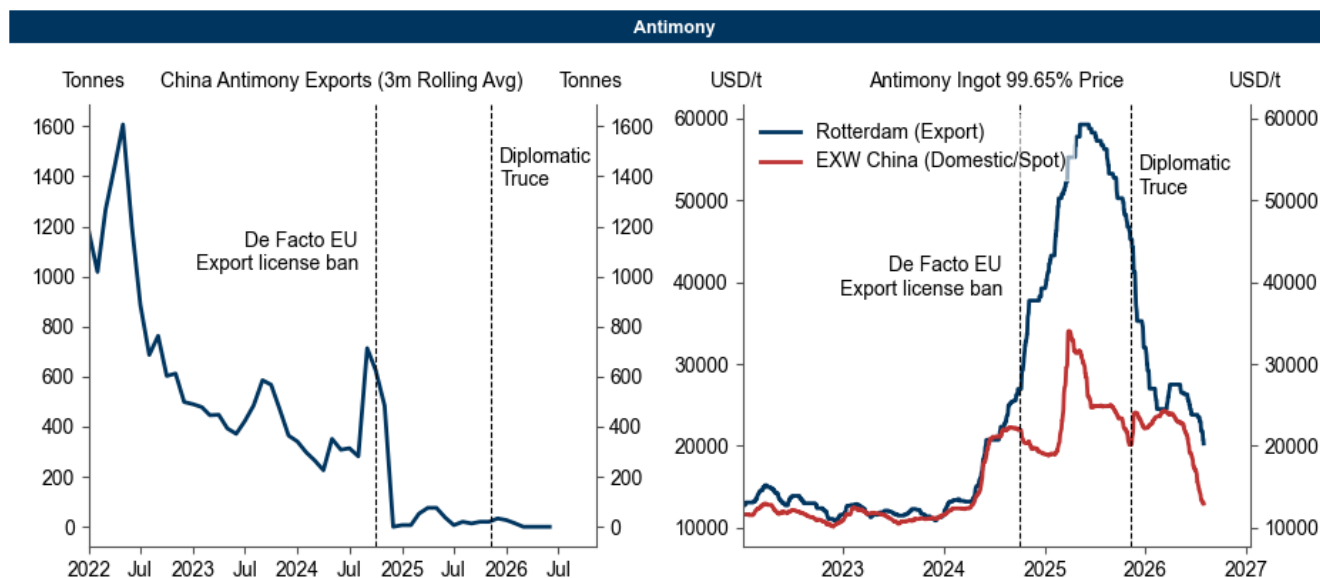
Exhibit 9: Rising China Supply of Several Rare Earths (Including NdPr) Has Reduced Several Rare Earths Prices Below the Marginal Cost of Ex-China Production



NdPr is a Rare Earth Oxide made up of 2 rare earths, neodymium and praseodymium, primarily used for manufacturing permanent magnets

Source: Bloomberg, Goldman Sachs Global Investment Research

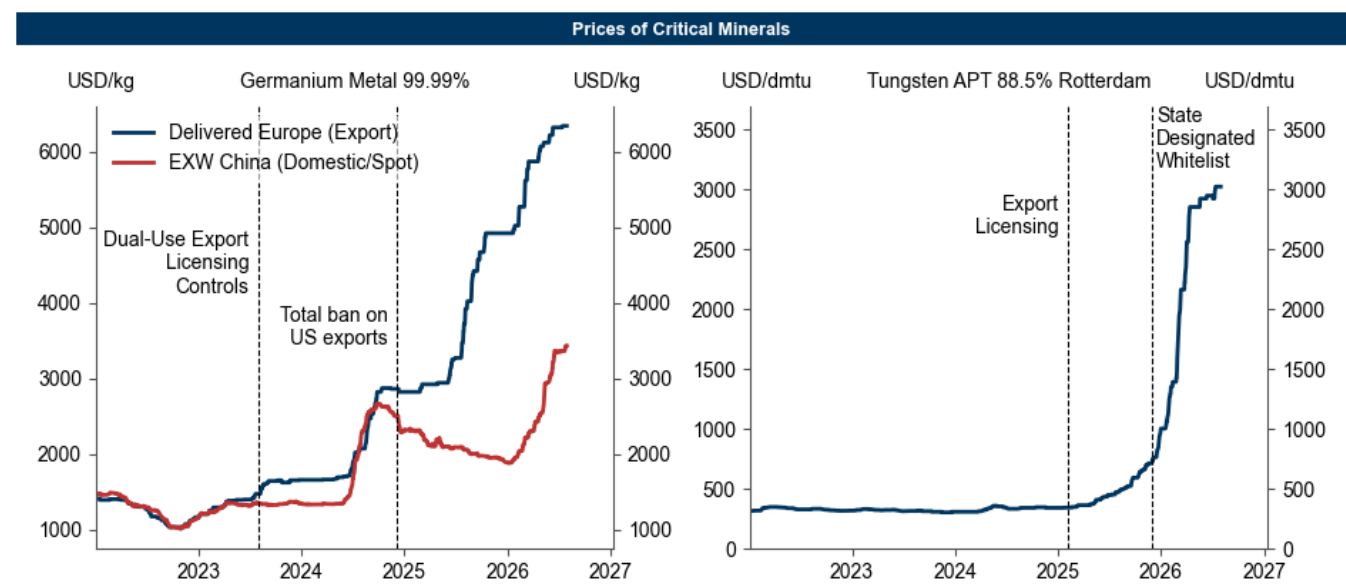
Exhibit 10: Restrictions of Critical Metals Exports Caused Sharply Higher ex-China Prices for Antimony



EXW (Ex-Works) signifies Chinese domestic prices because the transaction legally begins and ends inside China.

Source: Bloomberg, Global Trade Tracker, Goldman Sachs Global Investment Research

Exhibit 11: Restrictions of Critical Metals Exports Caused Sharply Higher ex-China Prices for Germanium and Tungsten



EXW (Ex-Works) signifies Chinese domestic prices because the transaction legally begins and ends inside China. APT stands for Ammonium Paratungstate, serving as the vital raw material used to manufacture pure tungsten metal powder.

Source: Bloomberg, Goldman Sachs Global Investment Research

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